

FOSTER v. IRBC2 PROPERTIES LLC, et al

21CV45573

**CONTINUED HEARINGS ON DEMURRERS,
MOTION TO EXPUNGE, AND MOTION TO CONTINUE**

This is a claimed wrongful foreclosure case commenced by plaintiff after the recording of a Trustee's Deed Upon Sale following a nonjudicial foreclosure sale. Plaintiff generally contends that the foreclosing parties had no legal authority to conduct the foreclosure sale because their putative interest in the property was based on void instruments. As this Court observed in relation to the earlier ruling on demurrer (entered 07/22/22), the right to challenge assignments set forth in *Yvanova v. New Century Mortgage Corp.* (2016) 62 Cal.4th 919, was limited to post-foreclosure, and only for pre-foreclosure assignments void ab initio. (See also *Morris v. JPMorgan Chase Bank, N.A.* (2022) 78 Cal.App.5th 279.) Since the operative pleading was deficient, and the related Notice of Lis pendens defective, the previous cloud was ordered expunged. Plaintiff has since filed a First Amended Complaint and recorded a new Notice of Lis Pendens.

Plaintiff's motion to continue the hearing on defendant's motion to expunge is MOOT, and deemed off-calendar. Plaintiff has already had the benefit of that motion with several continuances (and as it happens, yet another one).

The defense motion to expunge, and the three demurrers on calendar, are STAYED. It is an interesting question whether a motion to expunge a *lis pendens* qualifies as an action taken *against* the debtor for purposes of the automatic bankruptcy stay, especially when the debtor's only present interest in the property is theoretical/equitable. (See 11 USC §362(a)(1) and (c).) However, since plaintiff has at least a theory of liability, and since very few courts have had occasion to consider (let alone decide) whether the remedy for a *Yvanova* violation is limited to monetary relief, or if the plaintiff can actually get the property back, this Court must first defer to the bankruptcy court for whether the issues are ready for resolution here in the state court.

Status conference regarding status of the new bankruptcy petition is set for December 7, 2022, at 1:30 p.m. in Department 4. If the new bankruptcy petition is resolved prior thereto, defendants are invited to notify this Court and seek by way of ex parte application an order lifting the stay and rescheduling the hearing on the motion to expunge and demurrers.

The Clerk shall provide notice of this Ruling to the parties forthwith. No CCP §1019.5 or CRC 3.1312 order shall be required.

BIGGS v. DEANGELIS, et al

21CV45738

DEFENDANT'S MOTION TO STAY

This is a personal injury action, arising out of a rear-end automobile accident along a public stretch of Baldwin Street in Rancho Calaveras, CA, on 10/31/19. Despite there being adequate service on only one of the two named defendants (see ROA entry 04/13/22), both of the defendants have answered. Before the Court this day is a motion by one of those defendants – Donovan – to stay the action pursuant to the Servicemembers Civil Relief Act. Plaintiff objects.

Pursuant to 50 USC §3932, any civil litigant currently serving in the military is entitled to a stay of the action “for a period of not less than 90 days” upon a showing (1) that the servicemember’s “duty requirements materially affect the servicemember’s ability to appear,” and (2) that “military leave is not authorized for the servicemember at the time.” The first element can be established by “a letter or other communication” from a person with knowledge of said restriction (usually the servicemember). The second element regarding permissive leave can only be established by “a letter or other communication from the servicemember’s commanding officer.” The purpose of §3932 is to temporarily suspend judicial proceedings to prevent those in service to the nation from being disadvantaged in the legal process. The statute is to be liberally construed in favor of servicemembers. Thus, if both elements are met, or if the evidence that is presented demonstrates without doubt that the servicemember is unable to be physically present for scheduled hearings, the initial (minimum) 90-day stay becomes mandatory. (See *In re Amber M.* (2010) 184 Cal.App.4th 1223, 1230-1231 [trial court abused its discretion when it denied incomplete application for stay since evidence was clear that servicemember was unable to attend and no prejudice to the opposing side was shown]; in accord, *In re A.R.* (2009) 170 Cal.App.4th 733,742; *George P. v. Superior Court* (2005) 127 Cal.App.4th 216, 223-224 [distinguishing between mandatory first 90-day stay, and discretion stays thereafter].)

As set forth in defendant’s declaration: (1) he is a currently enlisted and active-duty member of the U.S. Army; (2) he is stationed well beyond the reach of this Court (in Fairbanks, Alaska); (3) he has limited access to defense counsel; and (4) he is unable to fully participate in the defense of the case. (See Deangelis Declaration, Paragraphs 2-5.) As set forth in defense counsel’s declaration, communication has been challenging. (See Leonard Declaration, Paragraph 4.) Not expressly stated, but evident from the information, is that being in Alaska makes it impossible to physically appear at any future substantive hearing in the action.